IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP (CAA)/3 & 10/(CHE)/2022 &
In
CA (CAA)/30 & 31/(CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement (Demerger)*

Between

M/s. Sri Shanmugavel Mills Private Limited
CIN: U17111TZ1980PTC000935
Reg Off:
207, Mangalam Road,
Karuvampalayam,
Tirupur-641604 ... *1st Petitioner/Transferor Company*

M/s. Vedha Spinning Mills Private Limited
CIN: U17111TZ2001PTC009831
Reg Off:
207,Mangalam Road,
Karuvampalayam,
Tirupur-641604 ...*2nd Petitioner /Transferee Company*

And

Their Respective Shareholders and Creditors

Order Pronounced on 25th April 2022

CORAM:

Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioners : Mr. MR Thiagarajan, PCS

COMMON ORDER

Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)

Under Consideration are two separate Applications filed by the Petitioners above named for the purpose of the approval of the Composite Scheme of Arrangement (Demerger) (hereinafter referred to as the 'SCHEME') as contemplated between the

Petitioner Companies viz. **M/s. Sri Shanmugavel Mills Private Limited** (1st Petitioner / Transferor Company) and **M/s. Vedha Spinning Mills Private Limited** (2nd Petitioner / Transferee Company) under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as *'the Act'*) read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as *'the Rules'*) pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed to the typed set filed along with the above mentioned applications.

2. The Composite Scheme of Amalgamation as contemplated between the Petitioner Companies involves the following parts:

- ***Part A*** – Deals with Definitions, Interpretation and Share Capital.
- ***Part B*** – Deals with the demerger, transfer and vesting of the Demerged Undertaking-1 (as defined herein below) of Sri Shanmughavel Mills Private Limited (hereinafter referred to as "Transferor Company") into Vedha Spinning Mills Private Limited (hereinafter referred to as "Transferee Company") and matters incidental thereto.
- ***Part C*** – Deals with general clauses, terms and conditions that will be applicable to the Scheme

3. 1ST Motion Application – In Brief

3.1 The Petitioner Companies have filed the First Motion Application vide CA(CAA)/30-31(CHE)/2021 seeking

directions for dispensation of the meetings of the Equity Shareholders Secured and Unsecured Creditors of the Transferor and Transferee Company.

3.2 Based on such applications moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 24.12.2021 for dispensation of the meetings of the Equity shareholders, Secured and Unsecured Creditors of the Petitioner Companies based on the consent affidavits filled. Subsequent to the said order, the Petitioner Companies have filed the second motion Petition before this Tribunal on 02.01.2022 for sanction of the Scheme of Arrangement (Demerger) as contemplated between the parties.

4. RATIONALE OF THE SCHEME

4.1 The learned PCS appearing on behalf of the Petitioner Companies submitted that the rationale and circumstances that have necessitated the proposed scheme are as follows:

4.1.1 Both the Companies under the Scheme of Arrangement (demerger) are family companies having common shareholding by the family members. It is decided between the families that there shall be an arrangement within the family to ensure that the

requirements of the group members of the family for future are taken care of so that there are no impediments to the business of the Companies arising as a result of any possible differences among the members of the family. This is expected to help the respective companies to carry on smoothly the business without being affected by any family matters in future.

4.1.2 In order to segregate the individual undertaking business, it is intended to demerge the Demerged Undertaking of the Transferor/Demerged Company under the Scheme on a going concern basis into the Transferee/Resulting Company.

4.1.3 For greater focus and concentration in the respective businesses, to ensure accelerated growth and improved profitability, it would be advantageous to re-organize and restructure the Demerged Company by demerging, transferring and vesting the Demerged Undertaking with the Resulting Company. The Scheme of Arrangement (Demerger) is essentially to ensure better operational management and focus on accelerated growth of individual units, will ensure higher returns to the shareholders, creditors,

employees and is also in general public interest. The proposed restructuring would result in better and efficient control by the management for the segregated business and promote their respective growth in still better manner. Further it will result in the following benefits also:

- Greater Administrative Efficiency
- Operational Rationalization, organizational efficiency and optimum utilization of various resources
- Focused approach to respective line of business
- Avoid duplication or overlapping of services.
- Ability to leverage financial and operational resources for each business; and
- Each business would be able to address independent business opportunities, pursue efficient capital allocation.

4.1.4 The proposed Scheme is likely to be value accretive for the shareholders and would enable them to select investments best suited to their investments strategies. Further, the segregation is also expected to unlock the value of the business of the Demerged Company.

4.1.5 The Scheme shall not in any manner be prejudicial to the interests of concerned members, creditors and other stakeholders.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 02.02.2022 had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (a) Central Government through the office of Regional Director (Southern Region), MCA (b) RoC, Chennai, MCA (c) the Income Tax Department Authorities and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in "The New Indian Express", English (Tamil Nadu Edition) and "Dinamalar" Tamil (Tamil Nadu Edition).

6. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal vide dairy number 1813 on 18.03.2022 in relation to the compliance of the order passed by the Tribunal as noted above and upon perusal of the same discloses that the Petitioner Companies have individually effected the paper publication as directed by the Tribunal in the issue of "The New Indian Express", English (Tamil Nadu Edition) and "Dinamalar" (Tamil Nadu Edition) on 11.03.2022. It is also seen that notices have been served to (i) The Regional Director, Southern Region, Chennai (ii) Registrar of Companies, Coimbatore and (iii) Income Tax Department on 28.02.2022 by the Companies. Affidavits of Service dated 18.03.2022 stating compliance of the

directions of the Tribunal was filed. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

7.1.1 The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued on 28.02.2022, had filed his Report dated 18.03.2022 before this Tribunal. It was observed that as per the report of RoC, Coimbatore, the Petitioner Companies are regular in filing their statutory returns. Further, it is also stated in the report that no prosecution / Inspection or Investigation is pending against the Petitioner Companies. However, the RD in para 9 has made an observation, which is extracted hereunder:

> *10) It is submitted that Clause 3.36 of part B of the Scheme deals with increasing the Authorised Share Capital of the Transferee Company. The Transferee Company shall to the extent required may increase its Authorised Share Capital in order to issue new shares in accordance with provisions of the Act. It is prayed that the Hon'ble NCLT, Chennai may direct the Transferee Company to pay the fee involved in increasing the Authorised Share Capital and also to file the amended MOA and AOA with RoC, Coimbatore.*

7.2. INCOME TAX DEPARTMENT

7.2.1 In spite of notice having been served to the Income Tax department by the Companies on 28.02.2022,

there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

7.2.2 However, in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

7.3 OTHER STATUTORY AUTHORITIES

7.3.1 It is submitted by the Learned PCS for the Petitioners that the equity shares of the Petitioner Companies are not listed with the stock exchanges, thus the Petitioner

Companies do not require compliance of Listing Agreement or SEBI Rules/Regulations.

7.4 ACOUNTING TREATMENT

7.4.1 The Learned PCS for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and certified that the Petitioner Companies have complied with provisions of the Companies Act, 2013 and the Accounting Treatment contained in the proposed Scheme of Amalgamation is in compliance with the Applicable Indian Accounting Standards. The Petitioner Companies have individually filed the Auditor's Certificate in relation to the accounting treatment proposed in the Composite Scheme being in compliance with the Accounting Standards notified under Section 133 of the Companies Act, 2013 on 26/10/2021.

8. OBSERVATIONS OF THIS TRIBUNAL

8.1 After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* in compliance with the provisions of the Companies Act, 2013. Further there seems to be no objection on the part of the shareholders that the Scheme is in any way detrimental to

the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation along with Company Petitions as well as the prayer made therein.

8.2 The Learned PCS for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

8.3 Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the persons concerned and also the directors and officials of the petitioners.

8.4 While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes

or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, right and interest of the Demerged Undertaking (Spinning Unit) of the Transferor Company shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Arrangement.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Demerged Undertaking (Spinning Unit) of the Transferor Company shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Demerged Undertaking (Spinning Unit) of the Transferor Company be continued by or against the Transferee Company.

(iv) The Appointed Date of the said Composite Scheme shall be 1st April 2020 as specified in the scheme. The Effective Date shall be within 45 days from the date of this Order.

(v) That all the employees of the Demerged Undertaking (Spinning Unit) of the Transferor Company in service on date immediately preceding the date on which the Scheme shall finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferor and Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies concerned and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company.

(vii) That the Transferee Company do without further application allot to such members of the Transferor Companies, such notice of dissent, as is required by *Clause 3.34 of Part – B of the Scheme herein* the shares in the Transferee Company to which they are entitled under the said SCHEME.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Concerned Registrar of Companies along with a copy of the Composite Scheme of Arrangement (Demerger) for registration and on such certified copy being so delivered, the Transferor Company shall remain the same without the Undertaking Taking Unit as specified in the Scheme. Accordingly, the files relating to the said companies shall be consolidated in consonance with the Scheme.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

9. That the Company Petitions are allowed and the Composite Scheme of Arrangement (Demerger) annexed with the Company Petitions is hereby sanctioned and shall be binding on the members, Secured, unsecured creditors and shareholders of the Transferor/ Transferee Company.

10. Accordingly, the Composite Scheme stands sanctioned and CP(CAA)/3&10(CHE)/2022 stand disposed of.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)